

ADVANTAGE Daily Drilling Fluids Report - 62



INTEQ

Rpt Date 22/Jan/2006		Well Name/No Bilabri DX 1		Section Name/No 8 1/2" Section #5		Mud System SYN-TEQ (PARA)	
Job# 1		Spud Date 22/Nov/2005		MD 3200.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep Tex Richards/ Robert Holst		Contractor Dolphin Drilling Ltd		Contractor Rep Brian Meechan / Paul Shepard	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Drilling Assembly						Casing		Volumes	Pump Information					
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/ Stk bbl	Stk Rate SPM	Circ Rate USgal/min	
8 1/2	HC	HCM408/HCC		19	168.00	Total Hole	Continental Ensco FA-1600	5 1/2	12.00	97.00	0.0855	0		
Drill Collars						854.56	Continental Ensco FA-1600	5 1/2	12.00	97.00	0.0855	0		
Drill Pipe							Continental Ensco FA-1600	5 1/2	12.00	97.00	0.0855	0		
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits								
6 1/2	2 13/16	55.54	5	4.276	2528.07	345								
			5	3	111.27	Tot Active								
						1199.56	Circulation Times							
						In Storage	Surface to Bit	min/stks				Total System	min/stks	
						828	Bottoms Up	min/stks						

Mud Properties				Max Ann Velocity		Hole Information				
Property	Fluid Spec	1	2	3	AV Riser	ft/min	Standpipe Pressure	0 psi	Water Depth	168.25 m
Sample From		Active Pit	Active Pit		AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate	USgal/min
Check Time		06:55	23:00		AV Open Hole	ft/min	Solids Analysis			
MD m		3200.00	3200.00		Vc Open Hole	ft/min	Property	1	2	3
TVD m		2974.00	2741.00		Vc Drill Pipe	ft/min	LGS %	4.95	4.95	
Bit Depth m		0.00	2705.00		Min Ann Velocity		LGS lb/bbl	45.12	45.12	
Inc deg		32.80	32.80		AV Riser	ft/min	HGS %	16.36	16.36	
Density ppg	10.7-16.0	12.9	12.9		AV Casing	ft/min	HGS lb/bbl	240.89	240.89	
Funnel Visc. sec/quart	70.0-100.0	85.0	85.0		AV Open Hole	ft/min	Avg Dens Sol sg	3.8283	3.8283	
Test Temp degF		120.0	85.0		Bit Information					
Rheol Temp degF		140.0	140.0		Size	8 1/2 in				
PV cP		32	31		Hours On Bit					
YP lbf/100ft^2	20-25	34	35		Bit Number					
10sec Gel lbf/100ft^2		13	13		BHA Number	12	Rheology			
10min Gel lbf/100ft^2		24	25		Depth In	3200.00 m	600 RPM	98	97	
HTHP Filtrate cc		3.4	3.4		Bit RPM		300 RPM	66	66	
HTHP Cake in/32		2.0	2.0		WOB	klbf	200 RPM	51	52	
HTHP Temp degF		250.0	250.0		Nozzles	3x20:18	100 RPM	35	35	
HTHP Pressure psi		500	500		Bit Hydraulics		6 RPM	12	12	
Retort Water %		19.00	19.00		TFA	1.1689 in^2	3 RPM	10	10	
Retort Base Fluid %		58.00	58.00		Nozzle Vel	ft/sec				
Retort Solids %		23.00	23.00		Bit Press Loss	psi				
Corrected Solids %		21.31	21.31		HHP / Area	HP/in^2	Hydraulic Analysis			
Oil:Water Ratio		75:25	75:25		HHP	%	Behavior Index (n)			
Alk (Whole Mud-POM) cc/cc		1.0	1.0				Consistency Index (k)			
CI (Whole Mud-Clom) cc/cc		41000	41000				#sec^n/100ft^2			
Ca (Whole Mud-Caom) cc/cc		0	0				ECD @ Bit Depth			
Excess Lime lb/bbl		1.3	1.3				ECD @ Casing Shoe			
Brine Density sg		1.23	1.23		Fluid Comments/ Recommendations					
NaCl % wt		0	0		Received and extra 100 bbls of SBM from boat. Mixed Slug and p.o.o.h Hole taking 10 bbls/hr Average. Used 438 bbls of base oil in order to mix fresh SBM +/- 700 Bbls will be the final volume. Mix 100 Bbbls of brine and mix all the requirement products for SBM.					
CaCl2 % wt		25	25							
Elect. Stab.V		542.0	508.0							
Sand %		0.90	0.90							
					Drilling Comments					
					Mixed Slug and p.o.o.h. recover Auto-Trak service the same and lay out. Make up Slick assy. and ran in the hole to shoe depth. Wait for SBM volume build up mud and boat.					

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Jose Rodriguez / Waboso Peter	234-803-4020440	Onne Port Harcourt	234-84-462609	Ogaree Lawson	165985.28 USD	2235121.69 USD	368343.01 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

**BAKER
HUGHES**

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Job# 1		Spud Date 22/Nov/2005				MD 3200.00 m				Progress 0.00 m				Present Activity Wait																											
Operator Peak Petroleum Indust. Limited				Company Rep Tex Richards/ Robert Holst				Contractor Dolphin Drilling Ltd				Contractor Rep Brian Meechan / Paul Shepard																													
Field/Lease Bilabri				Blk/Co/Parish OML - 122 / Nigeria				Area Offshore				Country/State Nigeria				Rig BULFORD DOLPHIN																									
Solids Control Equipment																																									
Name		#		Mfr		Hours hours		Screen Sizes		Act Volume Lost bbl		Res Volume Lost bbl		Comments																											
CENTRIFUGE		1		SWACO		0.0				0.00		0.00																													
CENTRIFUGE		2		SWACO		0.0				0.00		0.00																													
DESANDER		1		SWACO		0.0				0.00		0.00																													
DESILTER		1		SWACO		0.0				0.00		0.00																													
MUD CLEANER		1		SWACO		6.0		2 x 210		5.00		0.00																													
SHALE SHAKER		1		Brandt		0.0				0.00		0.00																													
SHALE SHAKER		1		SWACO		0.0				0.00		0.00																													
SHALE SHAKER		2		Brandt		0.0				0.00		0.00																													
SHALE SHAKER		3		Brandt		0.0				0.00		0.00																													
SHALE SHAKER		4		Derrick Equipments Co		6.0		175, 200, 200		5.00		0.00																													
SHALE SHAKER		5		Derrick Equipments Co		6.0		175, 175, 200		5.00		0.00																													
SHALE SHAKER		6		Derrick Equipments Co		6.0		175, 175, 175		5.00		0.00																													
								Total Volume Lost		20		0																													
Volumes																																									
Additions bbl				Losses bbl						Total Volumes bbl																															
Mud Added		100		Weight Materials		30.01		Downhole		249		Left In Pit		5		Starting Volume		1609.25		Riser w/o Pipe		193.29																			
Brine				Water		100		Cased Off				Trip Losses		10		Daily Additions		717.36		Casing w/o Pipe		728.22																			
Base Fluid		438		Product		49.35		Left In Hole				Injected				Daily Losses		299		Open Hole w/o Pipe																					
Recycled				Other				Discharged				Spill To Environment				Ending Volume		2027.61		String Displacement		66.95																			
								SCE		20		Onshore Disposal				Net Change		418.36		String Capacity		152.10																			
								Evaporation		5		Returned								Total Hole w/ Pipe		854.56																			
								Other Losses		10										Total Active		1199.56																			
																				Total Reserve		828.00																			
IADC Hours																																									
Tripping						20						Wait						4																							
BHDF Fluids Rep				BHDF Rep Phone				Warehouse				Warehouse Phone				Coordinator				Daily Cost				Cumulative Cost				Inventory Value				Page 2									
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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN				
Primary Currency USD				Secondary Currency				Totals USD				
Daily Product Cost		164635.28		Daily Product Cost		0.00		Primary Product		2134400.01		
Daily Tax		0.00		Daily Tax		0.00		Secondary Product		0.00		
Debit/Credit		0.00		Debit/Credit		0.00		Primary Engineering		91125.00		
Daily Engineering Cost		1350.00		Daily Engineering Cost				Secondary Engineering		0.00		
Total Daily Cost		165985.28		Total Daily Cost		0.00		Primary Total		2235121.69		
Total Inventory Value		368343.01		Total Inventory Value		0.00		Secondary Total		0.00		
									Deck Load		812702 lb	
Products and Services												
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk												
BARITE - Imported		1000 kg	140					20	120	262.59	56.65	
Oil Based Product												
CALCIUM CHLORIDE (97%)		1000 kg										
CALCIUM CHLORIDE (97%)		25 kg	280					200	80	3.02	11.44	
CARBO-GEL 2		25 kg	160					24	136	0.30	1.34	
CARBO-TROL HT		25 kg	100					50	50	1.15	3.05	
OMNI-COTE		55 USgal	12						12	0.48	0.03	
OMNI-MUL		55 USgal	36					8	28	3.84	4.27	
OMNI-PLEX		55 USgal	12					2	10	0.84	1.18	
OMNI-TEC		55 USgal	21					8	13	0.97	3.87	
PARA-TEQ BASE FLUID		1 bbl	723					438	285	54.78	129.12	
SA-58		50 lb										
Water Based Product												
BENTONITE		50 kg	5						5			
CALCIUM CARBONATE - FINE		50 kg	300						300	6.04	2.08	
CALCIUM CARBONATE - MED		50 kg	260						260	0.62		
CAUSTIC SODA		25 kg	4						4			
LD-8		55 USgal										
LIME		25 kg	310					60	250	5.88	4.66	
MIL-GUAR		25 kg	19						19			
MIL-PAC R		25 kg	20						20			
MIL-PAC LV		25 kg	59						59			
ML 1013 (BIOCIDE)		55 USgal	1						1			
NEW-DRILL PLUS		25 kg	29						29			
NUT PLUG F		25 lb	40						40			
POTASSIUM CHLORIDE		1000 kg										
POTASSIUM CHLORIDE		50 kg	4						4			
POTASSIUM CHLORIDE BRINE		1 bbl	790						790			
SODA ASH		25 kg	20						20			
XANTHANGUM D		25 kg	24						24			
LCM												
SOLUFLAKE C		25 kg										
SOLUFLAKE F		25 kg	160						160	1.67		
SOLUFLAKE M		25 kg	200						200			
Other												
BLACK MAGIC SF T		50 lb										
OM SEAL		25 lb	52						52			
BHDF Fluids Rep		BHDF Rep Phone		Warehouse		Warehouse Phone		Coordinator		Daily Cost		Cumulative Cost